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Case Study: Apple Strategic Analysis

Apple Inc. evaluated its business portfolio using the **GE/McKinsey Matrix** to improve investment decisions.

- The iPhone unit operates in a highly attractive industry with strong demand, profitability, and innovation. Apple also has a strong competitive position due to brand loyalty and market share → Invest/Grow.
- The Wearables unit is growing rapidly but faces strong competition from Samsung and Xiaomi, giving it moderate competitive strength → Selectivity.
- The Mac unit operates in a mature industry with slower growth and moderate performance → Harvest/Divest.

A SWOT analysis showed strengths (strong brand, innovation), weaknesses (high prices), opportunities (growing demand for digital services), and threats (intense competition and regulations).

A PESTEL analysis revealed that political factors (trade policies), economic conditions, technological changes, and legal regulations significantly influence Apple's operations and strategic decisions.

Answer the Following Questions (1 Point Each)

A- MCQs:

1. **If competitors like Samsung and Xiaomi introduce disruptive innovations, how would this most likely affect Apple's position in the GE Matrix?**
   B. <u>Decrease Apple's competitive strength</u>

2. **If Apple's strong brand allows premium pricing, this primarily strengthens which dimension in the GE Matrix?**
   C. <u>Competitive strength</u>

B- True/False

1. The classification of the iPhone unit as Invest/Grow implies that Apple Inc. must prioritize allocating resources to it over all other units. **(True)**
2. Opportunities identified in the case study, such as growing digital demand, can enhance the long-term attractiveness of Apple's business units. **(True)**
3. The Wearables unit was categorized under Harvest/Divest due to poor performance**. (false)**